

of the situation. Eventually the bulls won, and their buying demand forced the stock upward.

If you had shorted the stock, a close above the top of the horn would have been the exit signal.

Sometimes I search the Internet to discover news that would account for a stock's behavior and come up empty. Someone wanted to buy the stock or someone wanted to sell it. Of course, for each trade, both of those are true: For every share sold one is bought. Price moves not because buyers overwhelm sellers but because buying demand overwhelms selling pressure (or the reverse).

Failures happen. It's something that chart pattern traders have to deal with.

Statistics

[Table 44.2](#) shows general statistics for horns.

[Table 44.2](#) General Statistics

Description	Bull Market	Bear Market
Number found	843	325
Reversal (R), continuation (C) occurrence	100% R	100% R
Average decline	−19%	−26%
Standard & Poor's 500 change	−2%	−9%
Days to ultimate low	54	39
How many change trend?	36%	54%

Number found. I found the first horn in July 1991 and the most recent in September 2019, using 678 stocks to uncover 1,168 horns. Not all stocks covered the entire period and some no longer trade.

Reversal (R), continuation (C) occurrence. As a top, horns act as a reversal of the prevailing upward price trend by definition.

Average decline. The average decline is far higher than what we see on the daily charts, but that's expected. Weekly patterns, in the search for the ultimate low, ignore price closing above the top of the pattern during the